Ukraine: 2027 EU deal likely but 2028 crunch looms

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EU to fund Kyiv in 2027 but 2028 cliff looms

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EU leaders are set to agree a new loan which, with partner contributions, will cover most of Ukraine's €70 billion funding gap in 2027 and unlock its IMF review, though cash is unlikely to arrive before the second half of 2027.
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While Marine Le Pen would not halt financial aid in 2027 if she wins the French presidential election as expected, she would oppose the EU's 2028–2034 budget, which underpins support for Ukraine after 2027.
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Confiscation of Russian frozen assets remains very unlikely for now, but the odds will increase to 35% after 2027.

Ukraine has funding for the rest of 2026. About €28.1 billion of the €45 billion allocated for 2026 from the €90 billion Ukraine Support Loan remains undisbursed. Partners are covering the remaining shortfall, along with money brought forward from 2027. Disbursement depends on the parliament and the government advancing EU-requested reforms. In 2027, even if the remaining €45 billion of the €90 billion loan is disbursed, a fiscal gap of €70 billion will remain (€30 billion for the budget and €40 billion for off-budget defense).

EU countries will cover most of the €70 billion gap. According to media reports,the working figure under discussion is a new loan of about €45 billion, backed by the EU budget. EU leaders will meet on 26–27 November to discuss a deal they aim to finalize by the end of the year. Hungary, Czechia, Slovakia, and possibly Bulgaria will likely decline to participate in the new loan, as the first three did when the €90 billion loan was agreed in December 2025, but no country appears likely to block it. If partners add about €10 billion, about €15 billion would remain uncovered (Fig1). An EU deal would give the IMF the assurances it needs to complete its combined review of the $8.1 billion program. If the loan, like the €90 billion package, is repayable through Russian reparations, it would not increase Ukraine's debt burden and would preserve the IMF's debt sustainability assessment.

Fig 1: Needs, sources and remaining gap (€ billion)

Timing is the most immediate risk. The previous loan took six months from political agreement to first payment. If the new package follows the same pattern, Ukraine would not receive money until mid-2027. Moreover, Kyiv is using part of next year's tranche from the existing loan early to pay for January weapons orders, leaving less available for the first half of 2027. We expect deferred nondefense spending and pressure on reserves. The pressure will only mount after 2027, if the EU's aid stalls, and Ukraine would need to rely on bilateral financing. The bilateralization of aid would likely result in a situation where only northwestern Europe continues to fund Ukraine, but these countries would be unlikely to fully offset the losses of contributions from many member states in core, southern, and central Europe. This would increase calls for the direct usage of the Russian frozen assets, the chances of the Ukrainian debt structurisation, and put more pressure on Kyiv to concede to Moscow's demands.

Fig 2: When the money arrives, Q4 2026 - 2027

Ukraine's implementation of reforms will be key. The Rada has now passed the legislation tied to the EU's €3.7 billion macro-financial tranche—part of the €28.1 billion still undisbursed from Ukraine's 2026 allocation under the €90 billion loan—but the 2027 pipeline is more difficult. The next macro-financial assistance tranche requires a reform of the simplified tax regime for sole proprietors, a politically sensitive issue affecting millions of small businesses and voters. Another €5 billion under the Ukraine Support Loan depends on civil service reform, the transparent selection of prosecutors, and independent boards at state-owned companies. These steps would reduce the presidential office's control over appointments. As a result, progress will likely be slow and will probably involve concessions that partners then challenge.

Russian strikes will exacerbate Ukraine's fiscal troubles. Attacks on steel, ports, and energy infrastructure cost the budget 49.5 billion hryvnia ($1.1 billion) in lost revenue over the first nine months, while also increasing defense and repair costs. The 2027 budget assumes 1.3% growth, but that forecast predates the recent acceleration of attacks and could shift to a contraction of about 1%. Each 100 billion hryvnia of lost revenue adds about 0.9 points of GDP to the deficit.

European electoral pressure will add to the risk. France, Italy, Poland, and several other member states will hold elections next year. While a Le Pen victory on 2 May would not derail financing for Ukraine in 2027, it would jeopardize funding in 2028, when the IMF already expects a $20 billion budget gap (see EU support note—pie graph here). The EU budget requires unanimity; even if EU leaders reach a deal later this year on the 2028–2034 budget, Le Pen could block its formal adoption, leaving Kyiv reliant on smaller bilateral and coalition funding.

Russian asset seizures remain very unlikely, but the odds will increase to 35% after 2027. About €210 billion in Russian central bank assets, €185 billion held at Euroclear, has remained immobilized since December 2025. Belgium and the European Central Bank oppose going further. We place the odds of confiscation and asset seizure by the end of 2027 at 15%, rising to 35% after 2027. Policymakers could use the assets to back another reparations loan for 2028, because the loan component could proceed by qualified majority. However, without a deal on the broader EU budget, any fiscal guarantee for another reparations loan would have to be done voluntarily by national capitals.

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